



CHAPTER 60.

An Act to establish a national corporation for securing the development and exploitation of inventions; to authorise advances to the corporation out of the Consolidated Fund and, in respect of certain services, payments to the corporation out of moneys provided by Parliament; and for matters connected therewith.

[30th July 1948.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) There shall be established, in accordance with the provisions of this Act, a body corporate to be called the National Research Development Corporation, which shall have the functions—

**The National
Research
Development
Corporation**

- (a) of securing, where the public interest so requires, the development or exploitation of inventions resulting from public research, and of any other invention as to which it appears to the Corporation that it is not being developed or exploited or sufficiently developed or exploited ;
- (b) of acquiring, holding, disposing of and granting rights (whether gratuitously or for consideration) in connection with inventions resulting from public research and, where the public interest so requires, in connection with inventions resulting from other sources.

(2) In this Act—

the expression “ invention ” includes any new process or new technique and shall be construed without regard to whether or not a patent has been or could be granted ;

the expression “ public research ” means research carried out by a Government department or other public body or any other research in respect of which financial assistance is provided out of public funds.

(3) In the exercise of their functions under paragraph (a) of subsection (1) of this section, the said Corporation (hereinafter referred to as “ the Corporation ”) shall have power, subject to the provisions of this Act, to carry on any activity the carrying on of which appears to the Corporation to be requisite, advantageous or convenient for or in connection with the exercise of their said functions, and in particular may carry on, or promote or facilitate the carrying on by other persons, of any business.

(4) The Corporation shall, except where it appears to them that special circumstances otherwise require, exercise their function of securing the exploitation of any invention by entrusting the exploitation thereof, on terms appearing to the Corporation to be appropriate, to persons engaged in the industry concerned.

Constitution
of
Corporation.

2.—(1) The Corporation shall consist of a chairman and a managing director appointed by the Board of Trade, and such number of other members so appointed, not being less than four or more than ten, as the Board may from time to time determine.

(2) The members of the Corporation shall be appointed from among persons appearing to the Board of Trade qualified as having had experience, and shown capacity, in matters relating to science, technology, industry, finance, administration or the acquisition and disposal of rights in inventions.

(3) The provisions of the Schedule to this Act shall have effect with respect to the remuneration of members of the Corporation out of the funds of the Corporation, as to the appointment, and tenure and vacation of office, of the said members, and otherwise in relation to the Corporation.

Balancing of
accounts of
Corporation.

3. The Corporation shall so exercise their functions as to secure, in so far as can be done consistently with the fulfilment of their purposes, that as soon as may be after the establishment of the Corporation the return to them from their activities shall be sufficient to meet their outgoings on revenue account, taking one year with another.

Powers of
Board of
Trade as to
exercise of
functions of
Corporation.

4.—(1) The Board of Trade may, after consultation with the Corporation, give to them directions of a general character as to the exercise of their functions, and the Corporation shall comply with any such directions.

(2) The approval of the Board of Trade shall be requisite for the exercise by the Corporation of any of the following activities, that is to say—

- (a) the carrying out by the Corporation, or the entering by the Corporation into any agreement for the carrying out on their behalf, of any project for the making of goods, the construction of works or the provision of services, or the setting-up by the Corporation of any company or other organisation for carrying out any such project ;
- (b) the provision of financial assistance to any person undertaking the development or exploitation of any invention ;
- (c) the acquisition of, or of any interest in, any undertaking :

Provided that the approval of the Board shall not be requisite—

- (i) by virtue of paragraph (a) of this subsection, for anything done only by way of experiment or trial, or
- (ii) by virtue of paragraph (b) of this subsection, for the giving of assistance to a person in any year where the amount of that assistance together with any other assistance given to him by the Corporation in that year (less, where that other assistance took the form of a loan, any repayment made by him) does not exceed five hundred pounds.

The approval of the Board of Trade may be given for the purposes of this subsection either as respects any particular case or as respects any class of cases, and subject to such conditions and limitations as the Board think fit.

(3) The Corporation shall furnish the Board of Trade with such information concerning the property and activities of the Corporation as the Board of Trade may from time to time require.

(4) The Corporation shall as soon as possible after the end of each financial year of the Corporation make a general report to the Board of Trade as to the exercise by the Corporation of their functions during that year, and the report for any year shall set out any direction given to the Corporation under subsection (1) of this section during that year unless the Board have notified to the Corporation their opinion that it would be against the national interest so to do.

(5) The Board of Trade shall lay a copy of every report of the Corporation before Parliament.

Power of Government departments to meet Corporation's losses on services provided for departments.

5. Where in the exercise of their functions under paragraph (a) of subsection (1) of section one of this Act the Corporation carry out any project in response to representations made by a Government department that it is in the public interest that the project should be carried out, the Minister in charge of the department may with the consent of the Treasury make to the Corporation out of moneys provided by Parliament payments to the Corporation in respect of any loss or estimated loss arising or likely to arise in the carrying out of the project.

Temporary borrowing powers of Corporation.

6.—(1) With the approval of the Board of Trade given, with the consent of the Treasury, either generally or as respects the particular case, the Corporation may borrow temporarily, whether by way of overdraft or otherwise, sums required by them for meeting any of their obligations or discharging any of their functions :

Provided that the aggregate amount outstanding of any sums borrowed under this section shall not at any time exceed two hundred and fifty thousand pounds.

(2) A person lending money to the Corporation shall not be bound to inquire whether the borrowing is within the power of the Corporation.

Power of Board of Trade to make advances to Corporation.

7.—(1) For the purpose of enabling the Corporation to defray expenditure properly chargeable to capital account, including initial expenses and the provision of working capital, the Board of Trade with the consent of the Treasury may within five years from the establishment of the Corporation make advances to the Corporation within the limit specified in the next following subsection.

(2) The aggregate amount outstanding in respect of any advances made under this section shall not at any time exceed five million pounds.

Repayment of, and interest on, advances under last foregoing section.

8.—(1) The Corporation shall make to the Board of Trade, at such times and in such manner as the Board may with the approval of the Treasury direct,—

(a) payments of such amounts as the Board may with the like approval direct in or towards repayment of advances made to the Corporation under the last foregoing section ; and

(b) payments of interest on any sums for the time being outstanding in respect of such advances at such rate as the Board may with the like approval direct.

(2) Different rates of interest may be directed under this section as respects different advances and as respects interest for different periods, and the Board may, with the approval of the Treasury, waive any payments by way of interest due under this section within five years from the establishment of the Corporation.

(3) The Board of Trade shall lay before each House of Parliament a statement of any payment due from the Corporation under this section which is not duly paid to the Board as required thereunder.

9.—(1) The Corporation shall establish a reserve, applicable to the purposes of the Corporation at such times and in such manner as the Corporation may, subject to the provisions of this section, determine. Establishment of reserve.

(2) The management of the reserve and the sums to be carried from time to time to the reserve shall, subject as aforesaid, be as the Corporation may determine.

(3) The power of the Board of Trade to give directions to the Corporation shall extend to the giving to them, with the approval of the Treasury, of directions as to any matter relating to the establishment or management of the reserve, the carrying of sums thereto, or the application thereof to the purposes of the Corporation, notwithstanding that the directions may be of a specific character.

10.—(1) The Corporation shall keep proper accounts and proper records in relation to the accounts, and shall prepare in respect of each financial year of the Corporation a statement of accounts in such form as the Board of Trade may with the approval of the Treasury direct, being a form which shall conform with the best commercial standards. Accounts and audit.

(2) The accounts of the Corporation shall be audited by auditors to be appointed annually by the Board of Trade.

(3) A person shall not be qualified to be so appointed unless he is a member of one or more of the following bodies :—

The Institute of Chartered Accountants in England and Wales ;

The Society of Incorporated Accountants and Auditors ;

The Society of Accountants in Edinburgh ;

The Institute of Accountants and Actuaries in Glasgow ;

The Society of Accountants in Aberdeen ;

The Association of Certified and Corporate Accountants ;

The Institute of Chartered Accountants in Ireland.

(4) So soon as the accounts of the Corporation for any financial year thereof have been audited, the Corporation shall send to the Board of Trade a copy of the statement of accounts prepared in respect of that year together with a copy of any report made by the auditors on the statement or on the accounts.

(5) The Board of Trade shall lay before each House of Parliament a statement of every such statement and report before Parliament.

Issues out of
the
Consolidated
Fund.

11.—(1) The Treasury may issue to the Board of Trade out of the Consolidated Fund or the growing produce thereof such sums as are necessary to enable the Board to make advances to the Corporation under this Act.

2 & 3 Geo. 6.
c. 117.

(2) For the purpose of providing sums or any part of sums to be issued under this section, or of providing for the replacement of all or any part of sums so issued, the Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, and any securities created and issued to raise money under this subsection shall be deemed for all purposes to be created and issued under that Act.

Application
of, and
accounting
for, receipts
of Board of
Trade.

12.—(1) Sums received by the Board of Trade under section eight of this Act shall be paid into the Exchequer, and shall be issued out of the Consolidated Fund or the growing produce thereof at such times as the Treasury may direct and shall be applied by the Treasury as follows, that is to say—

(a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit ;

(b) so much thereof as represents interest shall be applied to the payment of interest which would, apart from this provision, have fallen to be paid out of the permanent annual charge for the National Debt.

(2) The Board of Trade shall, as respects each financial year, prepare in such form and manner as the Treasury may direct an account of sums issued to the Board under subsection (1) of the last foregoing section and of sums received by the Board under section eight of this Act, and of the disposal by the Board of those sums respectively.

(3) Any account prepared under this section shall, on or before the thirtieth day of November next following the expiration of the financial year in question be submitted to the Comptroller and Auditor General, who shall examine and certify the account and lay copies thereof together with his report before each House of Parliament.

Exercise of
powers of
Board of
Trade.

13. Anything authorised or required by this Act to be done by, to or before the Board of Trade may be done by, to or before the President of the Board, any secretary, under-secretary or assistant secretary of the Board, or any person authorised in that behalf by the President.

This Act may be cited as the Development of Inventions

SCHEDULE.

Section 2.

PROVISIONS RELATING TO CONSTITUTION, ETC., OF CORPORATION.

1. The Corporation shall have a common seal, and shall have power to hold land.

2. A person shall be disqualified for being appointed or being a member of the Corporation so long as he is a member of the Commons House of Parliament.

3.—(1) The Board of Trade shall have power, exercisable by statutory instrument, to make regulations with respect to—

- (a) the appointment of the members of the Corporation and their tenure and vacation of office ;
- (b) the execution of instruments and the mode of entering into contracts by or on behalf of the Corporation, and the proof of documents purporting to be executed, issued or signed by the Corporation or a member or officer thereof.

(2) Subject to the provisions of regulations under sub-paragraph (1) of this paragraph, the Corporation shall have power to regulate their own procedure, including the manner in which matters subject to the determination of the Corporation are to be determined by or on behalf of the Corporation.

(3) Regulations made under this paragraph shall be subject to annulment in pursuance of resolution of either House of Parliament.

4. The validity of any proceeding of the Corporation shall not be affected by any vacancy among the members thereof or by any defect in the appointment of a member thereof.

5. The Corporation shall—

- (a) pay to each member of the Corporation other than the managing director, in respect of the member's office as such, such remuneration and allowances as the Board of Trade may with the consent of the Treasury determine, and to the chairman, in respect of his office as such, such remuneration and allowances (in addition to any remuneration and allowances to which he may be entitled in respect of his office as a member) and to the managing director such salary and allowances, as the Board of Trade may with the like consent determine ; and
- (b) as regards any member in whose case the Board of Trade may with the consent of the Treasury determine to make provision for the payment on his death or retirement of a pension, gratuity, or other like benefit, pay or provide for the payment of such pension, gratuity or other like benefit to him or to others by reference to his service as the Board of Trade may with the like consent determine.

6. If any member of the Corporation, other than the chairman or the managing director, is employed about the affairs of the Corporation otherwise than as a member thereof, the Corporation may pay to that member such remuneration and allowances (in addition to any remuneration or allowances to which he may be entitled in respect of his office as a member) as the Corporation may determine.

7. The Corporation shall—

- (a) pay to their officers, servants and agents such remuneration as the Corporation may determine ; and
- (b) as regards any officer, servants or agents in whose case it may be determined by the Corporation with the approval of the Board of Trade to make provision for the payment on their death or retirement of pensions, gratuities or other like benefits, pay, or provide for the payment of, such pensions, gratuities or other like benefits to them or to others by reference to their service as may be so determined.

8. Provision for pensions, gratuities or other like benefits under this Schedule may be made either by contributory or by non-contributory arrangements or partly by the one and partly by the other.

9. Without prejudice to the provisions of subsection (3) of section one of this Act, the Corporation shall have power to do any thing and to enter into any transaction which in their opinion is calculated to facilitate the proper discharge of their functions or is incidental or conducive thereto :

Provided that—

- (a) the borrowing powers of the Corporation shall not extend beyond the powers expressly conferred by the provisions of this Act in that behalf ;
- (b) the provisions of this paragraph shall not affect the provisions of this Act as to the giving of directions to the Corporation.

10. It is hereby declared that nothing in this Act exempts the Corporation from liability to any tax, duty, rate, levy or other charge whatsoever, whether general or local.

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